

Reversal Strategies - Day 4

Support, resistance, trendlines, candles, indicators and risk planning.

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NISM Certified | 21 Years of Experience

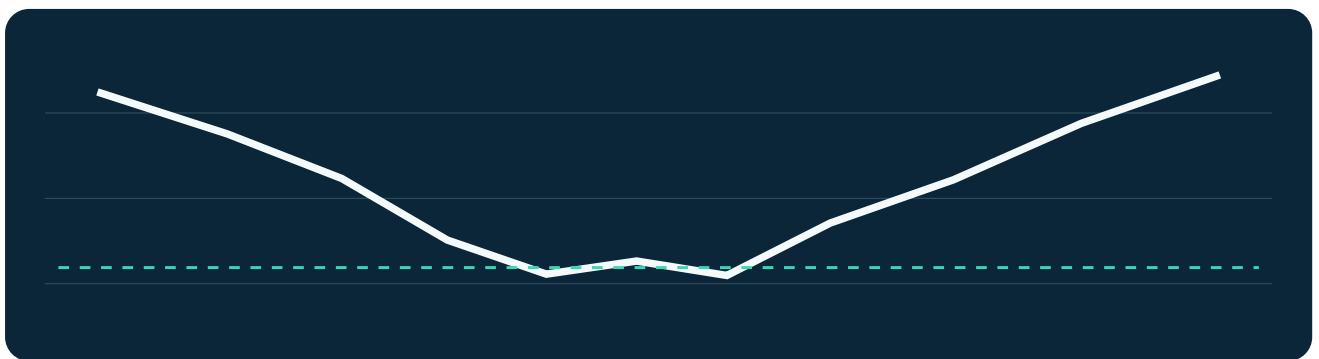
Educational illustrations and plain-English explanations. Review the examples with your own chart and risk plan.

Before the patterns

A reversal idea begins with a prior move and a level where price response may change. Seek confirmation, define invalidation, and treat an indicator as supporting context.

Treat support, resistance, trendlines, candle patterns and Stochastic RSI as context. A fixed risk-to-reward figure is not guaranteed.

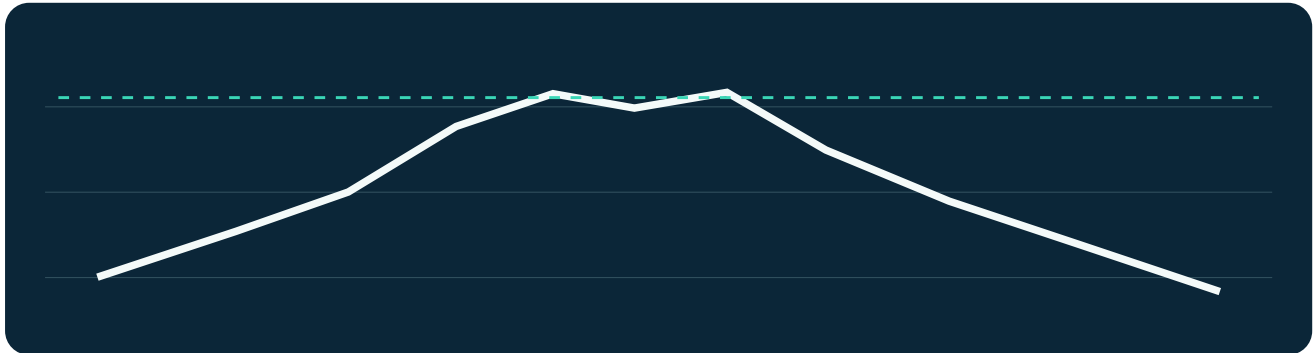
01 Support Reversal



After a decline, price repeatedly tests a support area before moving away.

Mark the area, then watch for a convincing bullish response and follow-through. A close back below support challenges the reversal idea.

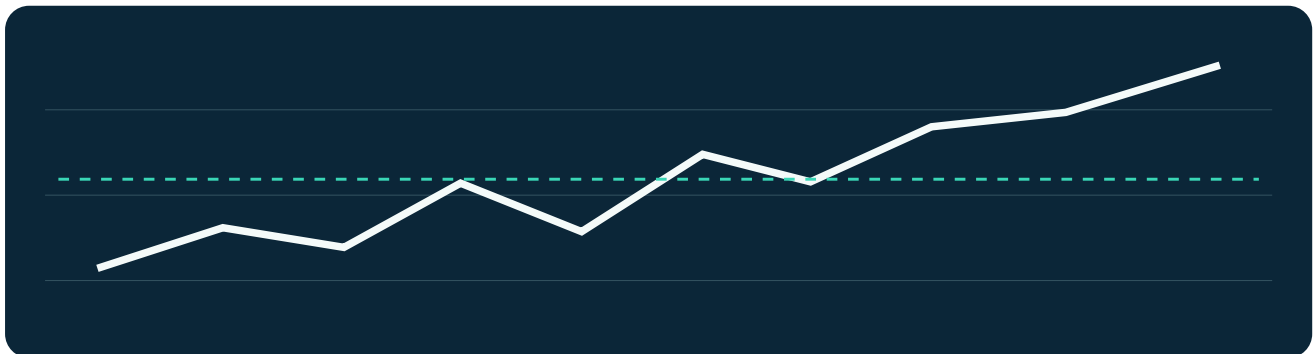
02 Resistance Reversal



After a rise, price struggles near a resistance area and starts to turn lower.

A bearish candle near resistance is context, not confirmation by itself. Observe whether lower highs or a support break follow.

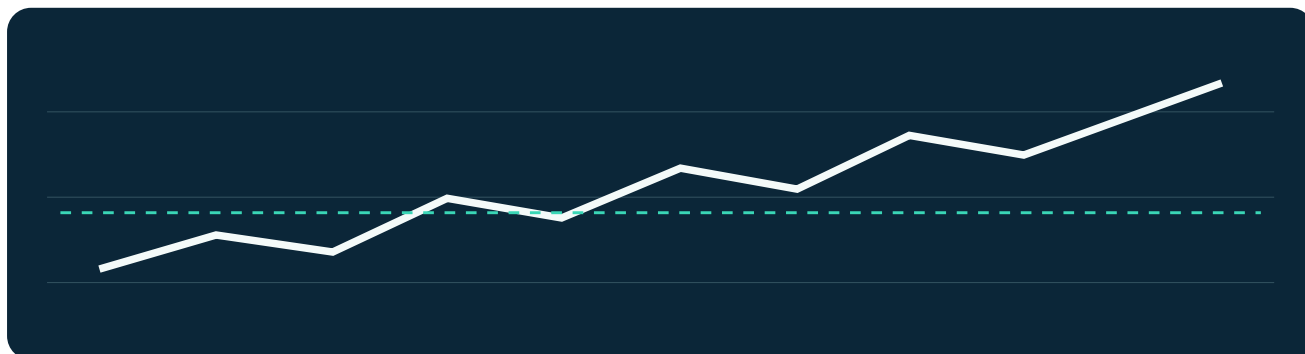
03 Swing Chart Setup



The PDF suggests reviewing active stocks on a daily chart and mapping support and resistance.

An alert near a prior high can prompt review. Wait for the relevant candle and subsequent price behaviour before deciding whether a breakout or pullback has formed.

04 Trendline & Channel



A single trendline connects successive swing lows or highs; parallel lines outline a channel.

Use clear swing points rather than forcing a line through every candle. A break or retest may signal a change, but false signals occur.

05 Candles & Stochastic RSI



Hammer, engulfing, Marubozu, piercing, shooting star, and dark cloud candles can add context near levels.

Stochastic RSI can show momentum changes, but readings and crossovers are sensitive in choppy conditions. Combine them with price structure and a defined exit.

A practical reading checklist

- Identify the prior trend and the nearest relevant level.
- Check the shape, close and follow-through; a pattern can fail.
- Define the price action that would invalidate the idea before deciding risk.

This guide is original AlphaEdge learning material based on the web lessons. The diagrams are schematic, not historical market prices. No entry, target or return is guaranteed.